Table 60.9 Busted Patterns

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Busted patterns count	94 or 20%	313 or 28%	41 or 9%
Single bust count	55 or 59%	267 or 85%	27 or 66%
Double bust count	29 or 31%	7 or 2%	1 or 2%
Triple+ bust count	10 or 11%	39 or 12%	13 or 32%
Performance for all busted patterns	–12%	45%	29%
Single busted performance	–18%	52%	66%
Non-busted performance	–16%	47%	21%

Trading Tactics

Table 60.10 shows trading tactics for descending and inverted scallops.

Measure rule, targets. Use the measure rule as a guide to finding a price target. To use it, compute the scallop height and project it in the direction of the breakout.

For example, the height of the scallop shown in Figure 60.4 is the price difference between B and C. The high is at 11.55 and the low is at 8.21, giving a difference of 3.34. Subtract this difference from the low, 8.21 (for a downward breakout, or add it to C for upward breakouts), giving a target of 4.87. Price reaches the target less than a month after the breakout.

The lower portion of the table shows how often the measure rule works. The example cited above uses the full height in a bear market. The table shows the measure rule works just 23% of the time. For a closer target cut the height in half or a quarter and apply it to the breakout price.

Another check of the target is to turn it into a percentage decline. In this example, the predicted decline measures 41% (or 3.34/8.21). Because the